

25PSCV03921 25PSCV03921

County: los-angeles

Division: Civil Law and Motion

Department: G

Hearing date: 2026-08-10

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CG%2C08%2F10%2F2026

Source SHA-256: 7ca24db986161d5212e4832571ec0d2da9289c2d489d8e67e9e77af10764df04

Case Number: 25PSCV03921 Hearing Date: August 10, 2026 Dept: G

Defendant

Mercedes-Benz USA, LLC's Motion to Compel Binding Arbitration

Respondent:

Plaintiff Jillian Morris

TENTATIVE

RULING

Defendant

Mercedes-Benz USA, LLC's Motion to Compel Binding Arbitration is GRANTED.

The

case is STAYED pending completion of binding arbitration.

BACKGROUND

This

is a Song-Beverly action arising out of the lease of an allegedly defective motor vehicle. On July 1, 2024,

plaintiff Jillian Morris (Morris) allegedly leased an SUV manufactured by defendant Mercedes-Benz USA, LLC (MBUSA).

Morris allegedly brought the SUV to MBUSA's authorized service and repair facility, but they allegedly failed to repair the vehicle.

On October

29, 2025, Morris filed the Complaint, alleging causes of action for (1) breach of express warranty obligations, (2) breach of implied warranty obligations,

(3) failure to repair in a good and workmanlike manner, and (4) failure to repair within thirty days.

On

May 6, 2026, MBUSA filed this motion to compel arbitration. On July 28, 2026, Morris filed the opposition, and on August 3, 2026, MBUSA filed the reply.

This

case is set for a trial setting conference (remand to Superior Court) and a hearing on the motion on August 10, 2026.

ANALYSIS

MBUSA

moves to compel arbitration pursuant to the arbitration provision of the lease. For the following reasons, the motion is GRANTED.

Legal

Standard

“A

written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.) The court must grant a petition to compel arbitration unless it finds no written agreement to arbitrate exists, the right to compel arbitration has been waived, grounds exist for revocation of the agreement, or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues.

(Code Civ. Proc., § 1281.2.)

In

a motion or petition to compel arbitration under both California and federal law, “the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165, internal quotation marks omitted.) Once the court finds an arbitration agreement exists and that the dispute is covered by the agreement, the party opposing arbitration bears the burden of establishing a defense to enforcement by preponderance of the evidence. (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413.) In interpreting an arbitration agreement, courts apply the same principles used to interpret contractual provisions with

the fundamental goal of giving effect to the parties' mutual intentions and applying contractual language if clear and explicit. (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177.) Because public policy strongly favors arbitration, "any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration." (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686.)

Discussion

Moving

Party's Burden

The

moving party's burden is twofold: first, provide prima facie evidence that an arbitration agreement exists, and second, that agreement applies to the dispute. (See *Rosenthal*, supra, 14 Cal.4th at 413.)

MBUSA

provides evidence that an arbitration agreement exists. MBUSA's counsel attests that they produced a "true and correct copy" of the lease agreement. (See *Ameripour Decl.*, ¶ 2, referencing *Ameripour Decl.*, Exh. 2.) The document provides, "If either you or we choose, any dispute between you and us will be decided by arbitration and not in court." (*Ameripour Decl.*, Exh. 2, p. 4.) Morris's name appears next to the title "lessee" and her signature appears under an acknowledgement that she "received and read . . . this lease and agree to all of its terms, INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES. . . ." (*Ameripour Decl.* Exh. 2, pp. 1, 6, capitalization in original.) A moving party is not required to authenticate an opposing party's signature on an arbitration agreement as a preliminary matter in moving for arbitration; the moving party need only make a prima facie showing that an agreement exists. (See *Rosenthal*, supra, 14 Cal.4th at 413; see also *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846.) Thus, the court finds MBUSA meets its burden of demonstrating that an arbitration agreement between the parties exists.

Additionally,

the arbitration provision states, "Any claim or dispute, whether in contract, tort[,] or otherwise . . . between you and us . . . or the vehicle distributor, including [MBUSA], which arises out of or relates to . . . this lease[] or any resulting transaction or relationship arising out of this lease . . . shall, at

the election of either you, us, or a Third Party Beneficiary, be resolved by neutral, binding arbitration and not by a court action.” (Ameripour Decl., Exh. 2, p. 4.) This action arises from Morris’s lease of the car, which places it within the scope of the arbitration provision of the lease. (See Compl., ¶¶ 4–11.) Thus, the court finds MBUSA meets its burden of demonstrating that the dispute is covered by the arbitration agreement.

Since

MBUSA establishes by a preponderance of the evidence that Morris agreed to arbitrate this case, the burden shifts to Morris to establish that the arbitration agreement should not be enforced.

Opposing

Party’s Burden

Once

the moving party establishes that an arbitration agreement exists and covers the controversy, the burden shifts to the opposing party to establish a defense against the enforceability of the agreement.

(See Rosenthal, *supra*, 14 Cal.4th at 413.) Morris argues the arbitration agreement is unenforceable because (1) MBUSA waived its right to compel arbitration, (2) the agreement is precluded by federal law, (3) the agreement is unconscionable, and (4) Morris is not required to arbitrate her statutory warranty claims against MBUSA as a non-signatory automaker.

Waiver

of Arbitration

Plaintiff

argues MBUSA waived its right to arbitrate when it removed the case to federal court. The court disagrees.

Code

of Civil Procedure section 1281.2 provides that the court should not compel arbitration if “it determines that . . . [t]he right to compel arbitration has been waived by the petitioner. . . .”

(Code Civ. Proc., § 1281.2, subd. (a).)

Courts consider a number of factors to determine whether waiver has occurred: (1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked

and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of proceedings; (5) whether important intervening steps had taken place; and (6) whether the delay affected, misled, or prejudiced the opposing party. (*Oregel v. PacPizza, LLC* (2015) 237 Cal.App.4th 342, 354.)

Here,

MBUSA removed this action to federal court, filed a motion to dismiss in federal court, opposed remand to state court, prepared pre-trial discovery deadlines, and provided initial disclosures.

(See Hunt Decl., ¶¶ 5–6, 9–10.)

Even if MBUSA's actions prior to this motion were inconsistent with the right to arbitrate, the court finds other factors enumerated in *Oregel* do not suggest MBUSA waived its right to arbitrate.

MBUSA

filed this motion five (5) days after the federal court remanded the action and before the parties appeared at any hearings in this court post-remand. (See Mot., p. 1; see also Hunt Decl., ¶ 11.) Other than initial disclosures, there is no indication that discovery is well underway, and this case is not yet set for trial. (See Hunt Decl., ¶ 10, explaining that the parties exchanged initial disclosures.) Additionally, while prejudice is not required to demonstrate waiver of the right to arbitrate, the court considers the lack of prejudice as a factor that weighs in favor of arbitration. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562; *Oregel*, supra, at 354.)

Accordingly, the court finds that MBUSA did not waive its right to compel arbitration.

Preclusion

by Federal Law

Plaintiff

argues the Magnuson-Moss Warranty Act precludes arbitration. The court disagrees.

The

Magnuson-Moss Warranty Act (MMWA) “permits a ‘consumer’ to bring an action for damages and other relief when a warrantor breaches its obligations under a

warranty or under the act.” (Atkinson v. Elk Corp. of Tex. (2006) 142 Cal.App.4th 212, 222, citing 15 U.S.C. § 2310, subd. (d).) It “also permits warrantors to establish ‘informal dispute settlement procedures’ for breach of written warranty claims, and to require consumers to resort to such procedures before bringing a civil action.” (Walton v. Rose Mobile Homes LLC (5th Cir. 2002) 298 F.3d 470, 474, citing 15 U.S.C. § 2310, subd. (a).) In interpreting the term “informal dispute settlement procedures,” the Federal Trade Commission (FTC) has issued regulations that prohibit written warranties from requiring binding arbitration. (Id. at 474–475, citing 16 C.F.R. § 703.5, subd. (j).)

The United States Courts of Appeals for the Fifth and Eleventh Circuits provide persuasive, though not binding, authority on the arbitrability of warranty claims issues. These courts have found that written warranty claims arising under the MMWA may be subject to valid binding arbitration agreements. (Walton, *supra*, at 478–479, holding that the MMWA does not preclude binding arbitration of warranty claims pursuant to a valid arbitration agreement and finding it improper to use FTC regulations to determine congressional intent; Davis v. So. Energy Homes, Inc. (11th Cir. 2002) 305 F.3d 1268, 1274–1280, holding that “written warranty claims arising under the MMWA may be subject to valid binding arbitration agreements.”) Furthermore, the Complaint does not assert any causes of action under the MMWA, only the Song-Beverly Act.

Thus, the court finds the MMWA does not preclude arbitration in this case.

Unconscionability

Plaintiff argues the arbitration agreement is unenforceable as unconscionable. The court disagrees.

An agreement to arbitrate is unenforceable as unconscionable only where both substantive and procedural unconscionability exist. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1533.)

“The

procedural element focuses on two factors: oppression and surprise. Oppression arises from an inequality of bargaining power that results in no real negotiation and an absence of meaningful choice. Surprise involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.” (Stirlen, *supra*, 51 Cal.App.4th at 1521.)

Plaintiff

argues that the arbitration agreement was a contract of adhesion. (See Opp., p. 15.) “Absent unusual circumstances, a contract offered on a take-it-or-leave-it basis is deemed adhesive, and a . . . transaction conditioned on a party’s acceptance of such a contract is deemed procedurally unconscionable.” (Vasquez v. Greene Motors, Inc. (2013) 214 Cal.App.4th 1172, 1184.) Here, Plaintiff was offered the lease on a “take-it-or-leave-it basis.” Therefore, the court agrees with Plaintiff’s argument that the arbitration agreement was procedurally unconscionable.

The

court next evaluates the arbitration agreement for substantive unconscionability. Substantive unconscionability is contract terms so one-sided as to shock the conscience.” (Stirlen, *supra*, 51 Cal.App.4th at 1533.) In other words, substantive unconscionability “involves the imposition of harsh or oppressive terms on one who has assented freely to them.” (Ibid.)

Upon

review of the language of the arbitration provision, the court does not find the subject arbitration terms to be harsh or oppressive. The court notes there is no indication that arbitration effectively immunizes HMA from liability for Song-Beverly claims. Importantly, the arbitration provision is mutual, so either party may compel the other to arbitration. (See Ameripour Decl., Exh. 2, p. 4, stating, “If either you or we choose, any dispute between you and us will be decided by arbitration and not in court.”) Additionally, the agreement provides, “The arbitrator shall be an attorney or retired judge and shall be selected in accordance with the applicable rules. The arbitrator shall apply the law in deciding the dispute.” (Ameripour Decl., Exh. 2, p. 4.)

Rather

than immunizing MBUSA from the court and Song-Beverly liability, the arbitration agreement explicitly provides that the arbitrator is subject to the court and to applicable law. Thus, the court does not find the arbitration agreement is substantively unconscionable.

Arbitration
with a Non-signatory

Even though the dispute arises under state warranty law, the court finds Plaintiff expressly agreed to arbitrate a dispute with MBUSA. In California, “warranty law and contract law . . . are governed by different sets of rules.” (Norcia v. Samsung Telecommunications America, LLC (9th Cir. 2017) 845 F.3d 1279, 1288.) “A seller is bound by any express warranties given to the buyer, including statements in written warranty agreements, advertisements, oral representations, or presentations of samples or models.” (Ibid.) Although written warranties are “‘contractual’ in the sense that it creates binding, legal obligations on the seller, . . . a warranty does not impose binding obligations on the buyer.” (Ibid.) And the fact that a consumer must satisfy certain conditions before enforcing a warranty “is not equivalent to a freestanding obligation that limits a buyer’s rights outside of the scope of warranty itself.” (Ibid.)

In Ford Motor Warranty Cases, the parties were a vehicle buyer and an automaker, and the automaker moved to compel arbitration based on the sales contract between the vehicle buyer and the dealership. (See Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1127.) The California Supreme Court found that the automaker could not compel arbitration and concluded that the plaintiffs’ claims “flow not from the contracts but from separate statutory requirements and conventional fraud theories. They are not intimately founded in and intertwined with the contractual terms” such that the automaker could compel arbitration under the agreement between the buyer and the dealership. (Id. at 1138.)

As stated above, the Complaint in this case alleges causes of action for (1) breach of express warranty obligations, (2) breach of implied warranty obligations, (3) failure to repair in a good and workmanlike manner, and (4) failure to repair within thirty days. (See Compl., pp. 4–7.) These causes of

action arise under the Song-Beverly Act; the Complaint does not cite any lease provisions as the basis for Plaintiff's claims.

(See Compl., ¶¶ 5, 12, 18, 40, 45, citing Civ. Code, §§ 1790, 1793.2, 1793.22, 1794, 1796.5.) In other words, the Complaint alleges warranty claims under state warranty law, and under the principles set forth under Ford Motor Warranty Cases, a non-signatory automaker cannot generally compel these claims to arbitration based on the separate agreement between the buyer and the dealership.

However, as a prerequisite to its analysis in Ford Motor Warranty Cases, the California Supreme Court found that the "plaintiffs

did not expressly agree to arbitrate any dispute with [the non-signatory automaker]." (Ford Motor Warranty Cases, *supra*, 17 Cal.5th at 1128.) The California Supreme Court noted that "there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate." (*Ibid.*, *cleaned up*, citing *Victoria v. Super. Ct.* (1985) 40 Cal.3d 734, 744.)

In contrast, the arbitration agreement that Plaintiff signed specified that "[a]ny claim or dispute . . . between you and us . . . or the vehicle distributor, including [MBUSA] . . . shall . . . be resolved by a neutral, binding arbitration and not by a court action." (Ameripour Decl., Exh. 2, p. 4.)

While the plaintiffs in Ford Motor Warranty Cases did not agree to arbitrate their dispute with the automaker in their cases, Plaintiff expressly agreed to arbitrate her dispute with MBUSA.

Thus, the court finds Plaintiff must arbitrate her case against MBUSA, even though her claims arise under state warranty law.

Therefore, Plaintiff failed to meet her burden of demonstrating proper grounds upon which the court may refuse to enforce the arbitration agreement.

Accordingly, the motion to compel arbitration is GRANTED.

CONCLUSION

Based

on the above analysis, the motion to compel binding arbitration is GRANTED.

The

case is STAYED pending completion of binding arbitration.